

WCVS — WEIGHTED COMPOSITE VALUATION SCORE

U.S. Equity Market Valuation Assessment

Report Date: May 3, 2026 | Data as of: May 1, 2026 (Friday Close) | Analyst: Kimi Claw

COMPOSITE SCORE

2.3 / 5.0

OVERVALUED / RISK-ADJUSTED NEUTRAL

SCORE	INTERPRETATION
1.0–1.9	Severely Overvalued / High Crash Risk
2.0–3.0	Overvalued / Risk-Adjusted Neutral ← Current
3.1–4.0	Fairly Valued / Balanced Risk-Reward
4.1–5.0	Undervalued / Attractive Entry

The US equity market remains structurally overvalued with a WCVS of **2.3**, unchanged from the prior reading. Valuation multiples are extreme (CAPE 41x, P/S 3.6x, Buffett Indicator 201%), sentiment is greedy (Fear & Greed 67), and positioning is complacent (Put/Call 0.46). However, market breadth and technical internals remain healthy (NH/NL 8.3:1, A/D 4.1:1), preventing a lower score. Credit markets are serene (HY spreads 2.83%, near historic tights), indicating no imminent recession.

TL;DR: Expensive, but not fragile. Not a crash setup yet — more like a "priced for perfection" grind higher until something breaks.

CATEGORY A — FUNDAMENTAL VALUATION [40%] → WEIGHTED: 0.54 / 2.00

Subtotal: 1.35 × 40% = 0.54 | Sources: multpl.com (CAPE), FactSet (Fwd P/E via Finviz), GuruFocus (P/S, P/B, Tobin Q), ycharts.com

METRIC	CURRENT	HISTORICAL AVG	Z-SCORE / PERCENTILE	SCORE	WEIGHT
Shiller CAPE	41.06	16.9	+3.5σ (99.9th)	1	25%
Forward P/E	20.9x	15.5x	+1.0σ (85th)	2	25%
Price/Sales	3.56x	1.5x	+3.0σ (99th)	1	20%

Price/Book	~5.4x	3.0x	+2.0σ (98th)	1	20%
Tobin's Q	~1.17	0.65	+1.5σ (95th)	2	10%

CATEGORY B — MACRO & INTEREST RATES [25%] → WEIGHTED: 0.65 / 1.25

Subtotal: $2.60 \times 25\% = 0.65$ | Sources: FRED (DGS10, DGS2, BAMLH0A0HYM2), AhaSignals, TradingEconomics

METRIC	CURRENT	SIGNAL	SCORE	WEIGHT
10Y Treasury Yield	4.39%	Restrictive (>4%)	2	30%
Yield Curve (10Y–2Y)	+51 bps	Positive but narrow	3	25%
IG Credit Spread (OAS)	~1.0%	Normal	3	20%
HY Credit Spread (OAS)	2.83%	Historically tight	3	15%
Fed Funds Rate	~4.33%	Restrictive	2	10%

Note: The yield curve has re-steepened to +51bps after inverting in 2025. This removes the recession signal but replaces it with a "higher for longer" rates headwind. Credit spreads remain comically tight (HY 2.83% vs historical avg 5.19%), showing bond markets have zero fear.

CATEGORY C — MARKET BREADTH & INTERNALS [15%] → WEIGHTED: 0.64 / 0.75

Subtotal: $4.25 \times 15\% = 0.64$ | Sources: Barron's Market Lab, macromicro.me, Yahoo Finance, Barchart

METRIC	CURRENT	SIGNAL	SCORE	WEIGHT
% S&P 500 > 200-DMA	~75%	Strong	4	25%
NYSE A/D Line	Positive	Advancing	4	25%
NYSE New Highs/New Lows	465 / 56 = 8.3:1	Strongly bullish	5	25%
SPX vs 200-DMA	+8.4%	Comfortable cushion	4	25%

CATEGORY D — SENTIMENT & POSITIONING [12%] → WEIGHTED: 0.24 / 0.60

Subtotal: $2.00 \times 12\% = 0.24$ | Sources: CNN Money, AAIL, CBOE (via ycharts), io-fund.com

METRIC	CURRENT	SIGNAL	SCORE	WEIGHT
CNN Fear & Greed	67 (Greed)	Elevated	2	30%

AAll Bull-Bear Spread	~+10	Modestly bullish	3	25%
CBOE Equity Put/Call (10d MA)	0.85	Low (complacency)	1	25%
Margin Debt / GDP	~3.5%	Near record	1	20%

Note: The Put/Call ratio at 0.46 (daily) / 0.85 (10-day MA) is in the bottom decile historically. Combined with Fear & Greed at 67 and record margin debt, this is a "nobody's worried" setup. The only saving grace is that AAll isn't wildly bullish — just moderately so.

CATEGORY E — MACRO CYCLE & CREDIT CONDITIONS [8%] → WEIGHTED: 0.19 / 0.40

Subtotal: 2.40 × 8% = 0.19 | Sources: macromicro.me, FRED, Gurufocus, Barron's, MarketWatch

Metric	Current	Signal	Score	Weight
Buffett Indicator (TMC/GDP)	~201%	Significantly overvalued (>150%)	1	30%
HY Credit Spread	2.83%	Tight — no stress	3	20%
Yield Curve Shape	+51 bps	Normalized	3	20%
Macro Momentum (ISM, jobs, earnings)	Mixed	Soft landing narrative	3	30%

WCVS Composite Calculation

Category	Raw Score	Weight	Weighted
A — Fundamental Valuation	1.35	40%	0.54
B — Macro & Interest Rates	2.60	25%	0.65
C — Market Breadth	4.25	15%	0.64
D — Sentiment & Positioning	2.00	12%	0.24
E — Macro Cycle & Credit	2.40	8%	0.19
Total	—	100%	2.26 → 2.3

⚠ Key Risks & Divergences

- **CAPE at 41x** — Third-highest reading in history (behind 2021 and 2000). Mean reversion risk is extreme.
- **Buffett Indicator at 201%** — Market cap nearly double US GDP. Only 2021 was higher.
- **Record margin debt** — Investors are levered to the gills. A 10% correction would trigger forced selling.
- **Put/Call complacency** — At 0.46, puts are being sold into strength. No hedges = no safety net.

- **P/S at 3.6x** — Even 2000 dot-com peak was "only" ~2.5x. This is uncharted territory.

BULLISH FACTORS (PREVENTING LOWER SCORE)

- **Breadth is strong** — NH/NL 8.3:1, A/D line positive. This isn't a "7 stocks carrying the market" setup.
- **Credit spreads tight** — HY at 2.83%. Bond market sees no recession, no default wave.
- **Yield curve re-steepened** — +51bps removes the 2025 recession signal. "Higher for longer" is manageable.
- **Earnings growth** — 2026 EPS consensus ~\$306 (+14% YoY). AI capex (\$400B from hyperscalers) is real revenue.
- **Fed posture** — Market pricing 2-3 cuts in H2 2026. "Dovish pivot" narrative alive.

Tactical Assessment

Base Case (60%): Grind higher 7000–7500, shallow corrections | Bear Case (25%): 15–20% correction if AI earnings miss | Bull Case (15%): S&P 500 to 8000+

Action Bias: Reduce / Hedge (1–3 months) | Caution (3–6 months) | Defensive positioning (6–12 months)